## New Steps to Check NPAs

As per the ***Economic Survey 2012-13***, though Indian banks remained well-capitalized, concerns regarding growing NPAs persisted – the present situation of the NPAs of the Indian banks is as given below:

- Overall NPAs of the banking sector increased from 2.36 per cent of total credit advanced in March 2011 to **3.57** per cent of total credit advanced in September 2012. While there has been an across-the-board increase in NPAs, the increase has been *particularly sharp* for the industry and infrastructure sectors, with NPAs as a percentage of credit advanced increasing from 1.91 per cent in March 2011 to 3.44 per cent as in September 2012. Sectors particularly under stress include textiles, chemicals, iron and steel, food processing, construction, and telecommunications.
- As per RBI data, gross NPAs *(GNPAs)* of PSBs (Public Sector Banks) have shown a rising trend during the last three years from Rs. 59,972 crore ( March, 2010) to Rs. 1,44,437 crore (September, 2012). As a percentage of credit advanced, NPAs *(i.e Net NPAs)* were at a level of **4.01** per cent in September 2012 compared to 2.09 per cent in 2008-09.

The main ***reasons*** for increase in NPAs of banks are –

i. Switchover to system-based identification of NPAs by PSBs;
ii. Current macroeconomic situation in the country;
iii. Increased interest rates in the recent past;
iv. Lower economic growth; and
v. Aggressive lending by banks in the past, especially during good times.

Some recent ***initiatives*** taken by the government to address the rising NPAs include –

a. Appointment of nodal officers in banks for recovery at their head offices/ zonal offices/ for each Debts Recovery Tribunal (DRT);
b. Thrust on recovery of loss assets by banks;
c. Close watch on NPAs by picking up early warning signals and ensuring timely corrective steps by banks;